University of Bristol Business School

FORM FOR THE SUBMISSION OF ASSESSED GROUP COURSEWORK

THIS FORM MUST BE COMPLETED AND ATTACHED TO **ALL** ASSESSED GROUP WORK.

Please include all group members' student numbers below.

Student Number	2383228
Student Number	2497746
Student Number	2381223
Student Number	2481114
Student Number	2362765

We agree that equal and fair contributions were made to the final report by all members of our group.

* Please delete as appropriate. In the event that all members of the group do not agree that they have worked together effectively, shared the workload equitably and are therefore happy to receive the same individual mark for the project, they will be required to provide written evidence as to why this occurred.

Please list brief details of how tasks were divided up among the group members in the box below (please refer to chapters of final report etc.):

Student 2383228 is responsible for "Analysis of Softcat's industry and company strategy"

Student 2497746 is responsible for "Valuation",

Student 2381223 is responsible for "Analysis of Accounting Judgements",

Student 2481114 is responsible for "Summary" and "Forecast"

Student 2362765 is responsible for "Analysis of the financial statements"

By submitting this work online using my unique log-in and password, I confirm that I am submitting the work on behalf of my group.

We understand that all marks are provisional until ratified by the Faculty Examination Board.

Please remember to save your work either as a **PDF (.pdf)** with the file name [Unit Code_Student Number] **e.g. EFIMM0123_1234567.docx**

ASSESSMENT FEEDBACK FORM
This information will be made available to students

Unit Title: Financial Reporting and Analysis

Unit Code: EFIMM0030

Student Number: 2383228, 2497746, 2381223, 2481114, 2362765

MARK*

*** All marks are provisional until confirmed at the Final Examination Board**

Please start writing your coursework on the next page.

Financial Reporting and Analysis EFIMM0030 Coursework Individual Feedback

Group Number	6
Student number 1	2383228
Student number 2	2497746
Student number 3	2381223
Student number 4	2481114
Student number 5 (if applicable)	2362765

Word Count **3537**

Section	**Max**	**Your mark**
Summary of Findings and Recommendation	**10**	
Analysis of Softcat's Industry and Company Strategy	**20**	
Analysis of Accounting Judgements	**20**	
Analysis of Financial Statements	**15**	
Forecasts of Financial Variables	**10**	
Use of Suitable Valuation Methods	**25**	
Total mark	**100**	

Overall Comments

FINANCIAL REPORTING AND ANALYSIS

SOFTCAT PLC GROUP REPORT

Summary of findings and investment recommendation

Softcat has demonstrated good performance in terms of profitability, liquidity, and solvency measures during the last six years, allowing for steady profits and a low chance of bankruptcy. Based on the assumption that present investments will fuel future growth, we give 'BUY' recommendation.

Softcat, a UK-based supplier of IT infrastructure and services, operates in a sizable and expanding sector that is projected to reach £148 billion by 2023. However, the business has recently seen revenue decreases -8.6% in 2023, mostly due to a 23.7% decline in hardware sales. Despite having different revenue recognition rules, software and services continue to be reliable income streams. Softcat sustains profitability in the face of pressure on top lines, higher share-based payment costs, and a higher tax rate of 21%.

Predictions indicate that by 2028, sales growth would rebound to 12.35% due to the maturity of major technology investments. We assume that expenses and tax rates stay constant with very minor variations. It is anticipated that dividend payments will remain steady at 66%.

A blended intrinsic value derived from three models—the dividend discount, residual income, and P/E multiples—was employed for valuation. The intended outcome points to a buy rating at £14.70 with a fair value. The blue-sky scenario shows that there is significant room to develop, up to £28.04.

Downside risk does, however, also exist, as indicated by the grey sky value of £10.33, which points to a strong sell rating.

To sum up, Softcat is a professionally managed business that has absorbed the short-term effects of its investments and is actively preparing itself for long-term tech growth trends. Based on the company's strategic bets and the expected growth from them, our analysis supports a buy recommendation. Although there are still execution concerns, Softcat has the financial resources to support its goals.

Analysis of Softcat’s industry and company strategy

What is Softcats’s industry?

Softcat plc (Softcat) provides information technology (IT) infrastructure services (data centre and private cloud solutions, networking, public cloud, security, and cybersecurity). Its IT services include consulting, evaluation, design, implementation, adoption, support, intelligence, and full management. The firm serves small and medium-sized businesses, enterprises, global organisations, government bodies, market-leading companies (Microsoft and Lenovo). Softcat's headquarters are located in Marlow, Buckinghamshire, England.

Softcat’s strategy analysis:

Softcats key strategy principles :

1. Acquire more customers: The softcats user base increased by 2% from last years report which is was 10,110. This is a first for the company to hit 10000 user base, this is only 20 percent of the addressable market, Softcat will continue to target new accounts accounts through further investment, training and development of sales teams respectively.
2. Selling more to existing customers: In 2023 Softcat has tried to evolve their customer offerings in response to the changing technology landscape, keeping pace with emerging customer needs. For the future, Softcat is keen to maintain their position as a key partner to both established and emerging technology vendors, evolving their skills around the ever-changing portfolios of services and products coming to market.

Industry Analysis:

Porter's 5 forces analysis for Softcat PLC:

Bargaining power of suppliers (low):

Throughout their commercial journey so far, Softcat's has enjoyed excellent ties with its suppliers. This has been made possible by their committed "vendor alliance teams," which took the initiative to uphold important connections with leading suppliers. The board of directors also considered input from its staff and met directly with its top 10 vendors. They spoke about how to enhance supply chain management and increase revenue all around, as well as how to achieve a carbon-neutral supply chain by 2040.

Bargaining power of buyers (moderate):

Softcat's average gross profit per client climbed to £37.0k in 2023 from £33.0k in 2022, a 12.2% rise, while the company's customer base grew to 10,100, up around 2% from the previous year. With early revenues distributed evenly throughout its main business lines, they attracted new clients from a wide range of sectors. Businesses and organisations that use Softcat as a client may have a moderate amount of negotiating leverage. Softcat's emphasis on individualised solutions and client support might lessen its influence.

Threat of New entrants (low to moderate):

Softcat is in a relatively good position because the market for IT services and solutions is capital-intensive, meaning that not many players are prepared to enter this space. In addition, the industry is complex in terms of products and gaining customers; only strong players with a variety of product offerings can thrive in this market.

Threat of substitutes (moderate):

Since there is a widespread belief that tools based on artificial intelligence and machine learning will be able to dominate markets, Softcat has significantly improved its position by future-proofing its products with customer-friendly specifications. As a result, there is no question that these products are of the highest calibre, and a wide range of customers, from small businesses to large corporations, appreciate them.

Rivalry among existing firms (moderate to high):

Although many businesses focus solely on selling one product, these are less dangerous than the few businesses that are comparable to Softcat. Softcat provides a range of services and solutions, which is presumably why it has been able to carve out a niche market for itself. Through the provision of specialist IT solutions, exceptional customer care, and ongoing technological advancements, the company has built a strong reputation that would deter small and medium-sized businesses.

SWOT Analysis:

Strengths:	Weaknesses:
• The firm has a robust network of trustworthy raw material suppliers, which helps it go over any supply chain obstacles. • Good brand equity among potential consumers and a high degree of customer satisfaction among current customers have been attained by the firm thanks to its committed customer relationship management department.	• Restricted success outside core business: Despite being one of the top companies in its sector, Softcat Plc has had difficulty expanding into new product categories given its current organisational culture. • Excessive employee attrition rate in comparison to comparable industry organisations Softcat Plc experiences a greater rate of staff churn and must invest much more in training and development than its competitors.
Opportunities:	**Threats:**
• Investment prospects in neighbouring product areas are presented by stable free cash flow. The corporation may invest in new product categories and new technology if it has more cash in the bank. For Softcat Plc, this should present a window of opportunity in other product areas. • New guidelines for the environment All of the participants in the sector will have equal access to the new opportunities. Softcat Plc has a fantastic chance to highlight its technological edge and increase its market share in this new product category.	• Due to its international operations, the firm is subject to currency swings, particularly in light of the unstable political environment in many global markets. • Since the market for these extremely valuable items is seasonal, any improbable incident that occurs during the busiest time of year might have a short- to medium-term negative effect on the company's profitability.

Table 1

Analysis of Accounting Judgements

This section shows Softcat's accounting policies, including revenue recognition, taxation and share-based payments. The company mainly uses IFRS accounting standards, but for two measures, the company uses non-GAAP standards. However, this standard does not have a substantial impact on Softcat's financial reporting, nor does it cause other problems. Therefore, within a certain confidence interval, the report data is accurate to a certain extent.

1. Revenue recognition

In the Softcat's 2023 financial statements, revenue is divided into hardware, software and services. In 2023, revenue was decreased by approximately 8.6% compared to the same period last year. This is due to approximately 62% of revenue coming from hardware revenue, while hardware revenue will decrease by approximately 23.7%. At the same time, hardware sales were also affected by weak demand in the client device market.

Hardware

The company uses multiple suppliers and distributors to sell its hardware products. Revenue generated from the sale of hardware products is recognized on a gross basis. The company acts as the principal in the sales process and records the gross value of the total consideration from the customer. Revenue recognition occurs when control of the goods passes to the buyer, indicating that the company has fulfilled its obligations. In accordance with industry standards, payment for hardware products is generally expected within thirty days of the invoice date. Vendors typically offer standard warranties on most hardware products sold by companies. These warranties are considered inherent to the sale of the product and are not considered independent obligations.

Software

Software revenue is recognized on a net basis because the Company acts as agent in the transaction of software to customers. Because the Company fulfills its obligations by arranging for the transfer of the licensing to the customer and acting as an agent in the process, revenue is recognized in full on a net basis and invoiced, with payment due within 30 days of the invoice date. For these transactions, the company has no further involvement other than to introduce the customer to the supplier, in return for which the supplier pays the company a fee. The Company acts as agent in such transactions and this fee is also considered a net fee.

Services

Softcat recognizes the revenue from the transaction after receiving the completion of the relevant services, regardless of whether the transaction is completed by its own internal consulting team or consultants provided by third parties. In most cases, the time between the customer's order of services and the delivery of the sold services day is short, so the company does not recognize revenue on a percentage basis because the impact is not significant. For the rare long professional service days, Softcat recognizes revenue based on direct measurement of customer value, generally the number of completed days as a percentage of the total number of days. Because the Company serves as a principal in such transactions, the revenue is recognized on a gross basis. The Company acts as an agent in arranging for third parties to provide products with extended or enhanced warranties, for which revenue is recorded net at the point of sale.

2. Taxation

Tax rate

Softcat's effective tax rate increased to 21.0% in 2023, compared with the previous year's level of 18.9%. The main reason for this increase is the increase in the UK statutory tax rate from 19.0% to 25.0% in April 2023 together with the relatively marginal impact of non-deductible expenses and share-based payment transactions. The company appears to be focused on compliance and takes steps to ensure that it follows applicable tax regulations and ensures that the correct tax is paid under the right conditions.

Deferred tax

Softcat has applied the initial recognition exception under IAS 12 for deferred tax on leases. This is because the increase in the financing cost of the liability generates additional deductible temporary differences after the initial recognition of the liability, which requires the recognition of a deferred tax assets. As a result, intangible deferred tax assets were generated and increased from £2.508m in 2022 to £2.997m in 2023. However, there is no evidence that Softcat attempted to manipulate its financial statements.

3. Share-based payments

Softcat's fair value of share-based payment in FY23 was £4.22m, an increase of approximately £0.5m compared to FY22, all related to the Long Term Incentive Plan awards. These payments are calculated at fair value on the date of grant and expensed on a straight-line basis over the vesting period. Softcat uses two financial indicators, Adjusted EPS and Relative TSR, to more comprehensively evaluate the company's profitability. The conclusion that no changes to the financial statements for this section are required is based on the fact that all share-based payments in FY23 were related to employee share plans and, according to Softcat, appropriate pricing models were used.

Analysis of the Financial Statements

In this section, we mainly pay attention to the financial performance of Softcat based on its past SoFPs. We analyze the trends concerning the company’s profitability, liquidity and solvency for the last six years. To detect if Softcat is doing well in the industry, we also introduce the peer analysis, which means we compare the related key ratios of Softcat with its competitors. Although Softcat has published its financial report for FY2023, we have some missing values as the other companies we select have not yet published their FY2023 reports, but this does not affect the overall analysis. All of the data we used is from the FAME database.

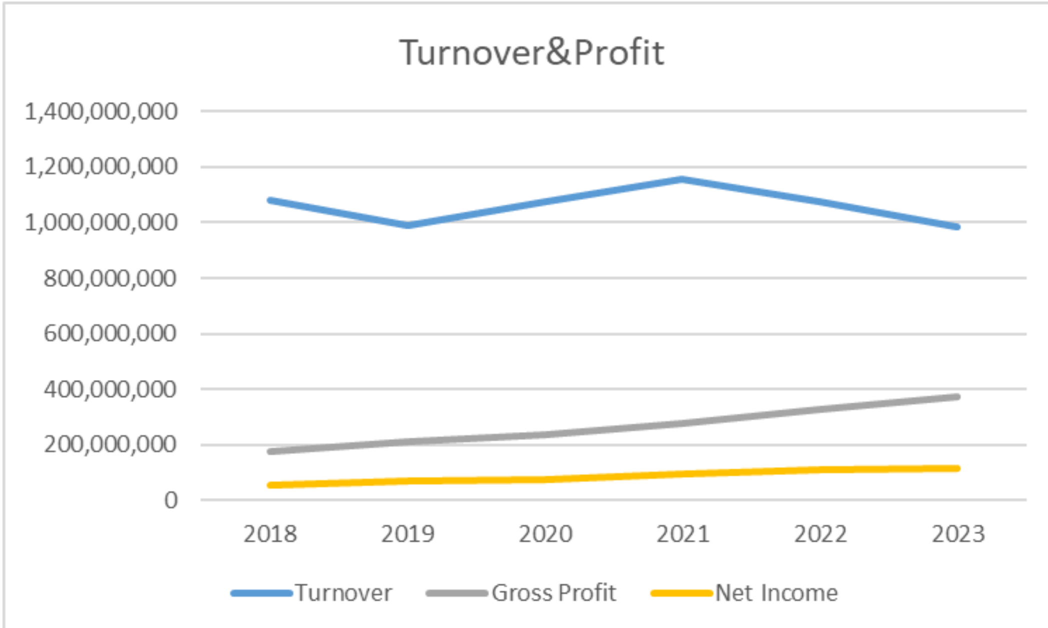

Figure 1

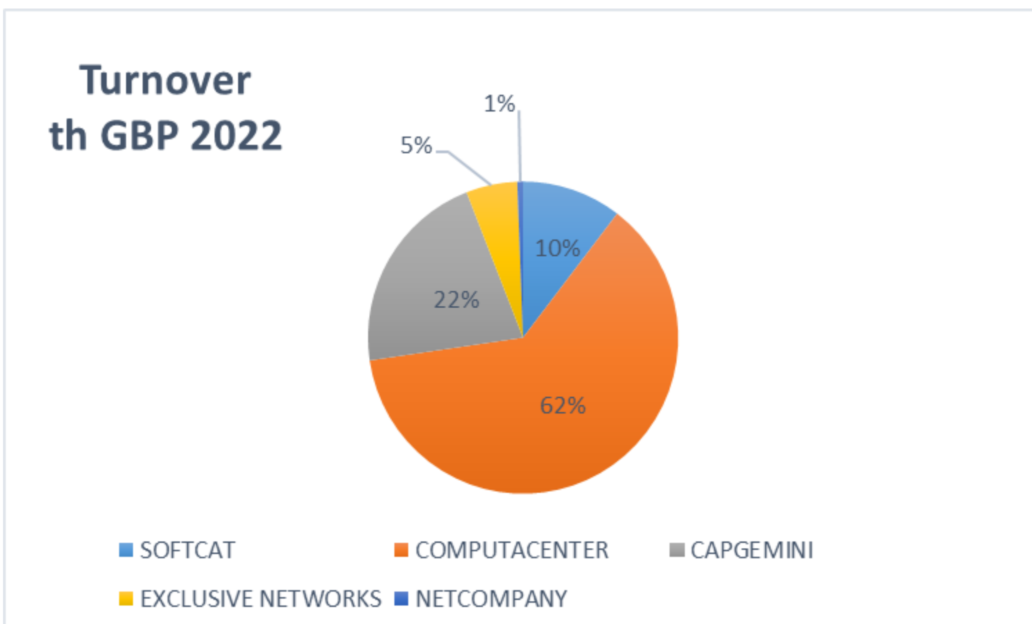

Figure 2

Figure 1 shows the turnover and profit of Softcat from FY2018 to FY2023. We can find that Softcat's Turnover basically fluctuates between 1 billion and 1.2 billion pounds during this six-year period, which I think is not a very large volatility. We also notice that the turnover of the company has dropped by 8.6% in FY2023, which is caused by the decline of hardware

GII sales as the FY2023 report explains. However, the good news is that Softcat's gross profit and net income have been constantly growing, as a result of lower cost of sales.

In order to further analyze the financial situation of the company, we choose other four companies from the same industry that provide Internet services and softwares, named Computacenter, Capgemini, Exclusive Networks and Netcompany. We count the percentage of turnover of the five companies and obtain Figure 2. We observe that Computacenter has the largest turnover in FY2022 and it takes more than half of the total turnover of the five companies. Capgemini runs second and Softcat is only the third one.

Profitability

As is shown in Figure 3, the gross margin of Softcat witnessed a rapid growth from FY2018 to FY2023, reaching a number of 37.94% at the end of the period. By comparison, the gross margin of Softcat ranked third in FY2018 but became the first in FY2022, indicating that the company' profitability is getting better. As for another key measure of the company's profitability, ROE, Softcat's performance is still very satisfactory. During the six years, even though the ROE of Softcat has decreased somewhat, the value is still above 40%, which is also a very good level in the industry.

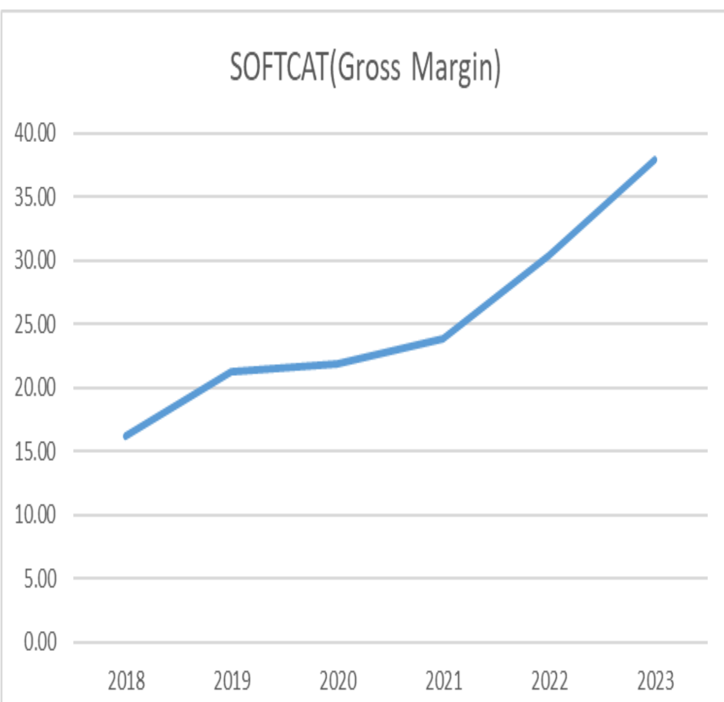

Figure 3

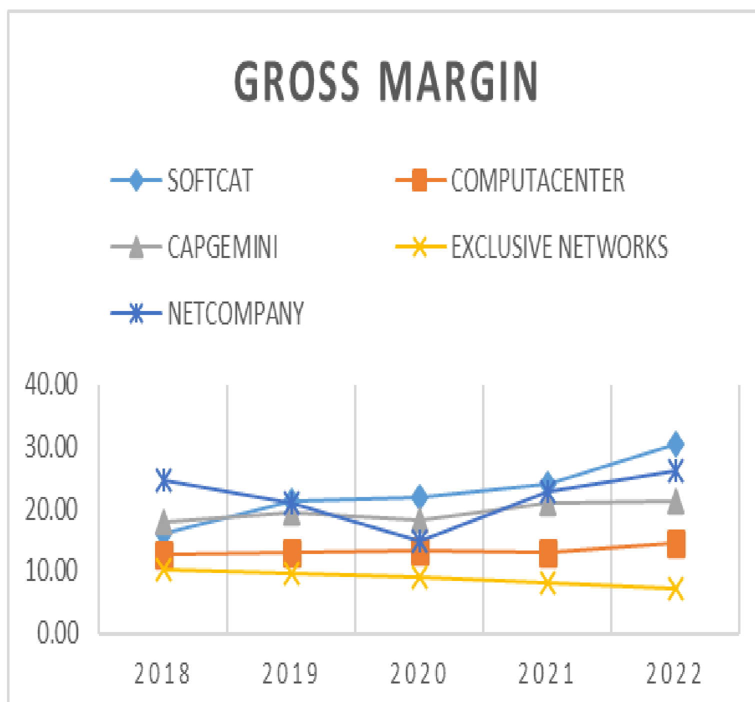

Figure 4

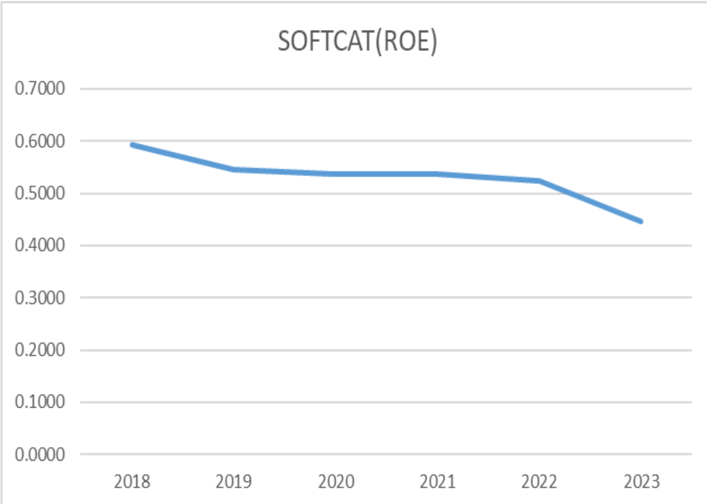

Figure 5

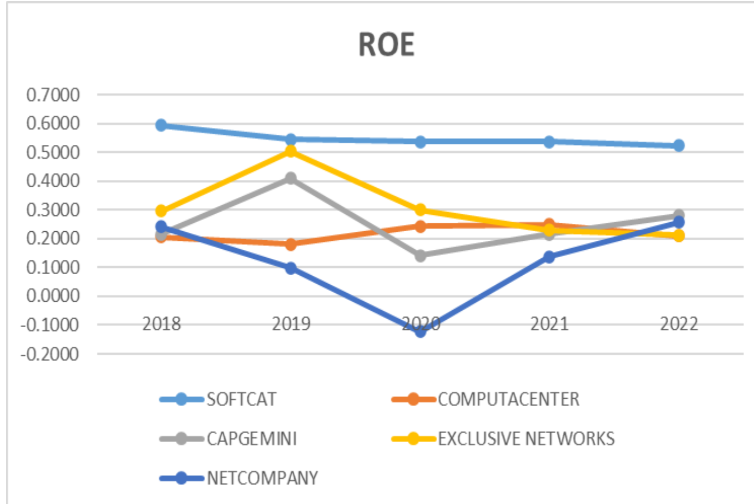

Figure 6

Liquidity

Current ratio and quick ratio are two of the important measurements of a firm's liquidity. Theoretically speaking, there are no specific standards for the two ratios as the standards can be different in different industries, but in general, we prefer higher current ratio and quick ratio. Based on the figure drawn, we can conclude that the current ratio and quick ratio of Softcat is at a good level in the industry and has little volatility. This means that the company has relatively good liquidity in short terms and is less likely to be troubled by financial distress.

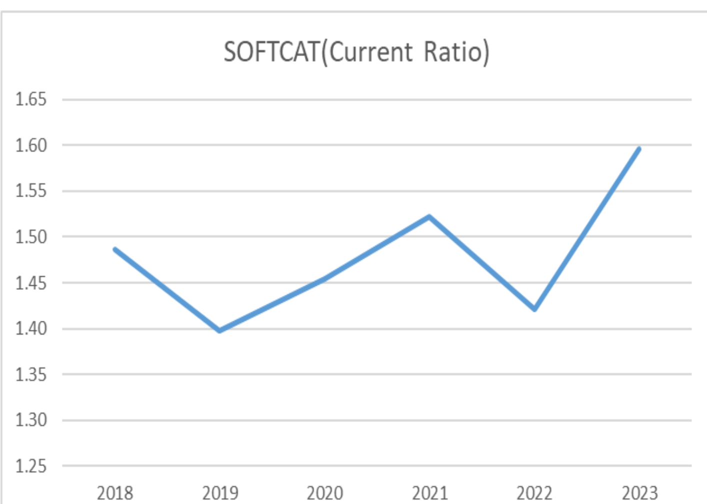

Figure 7

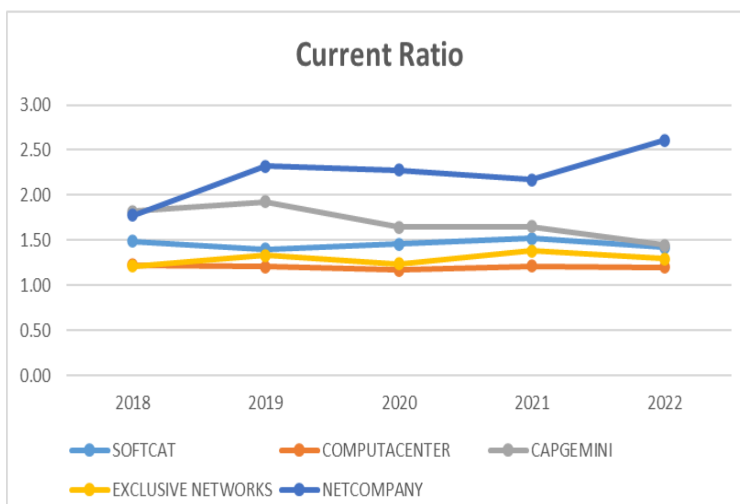

Figure 8

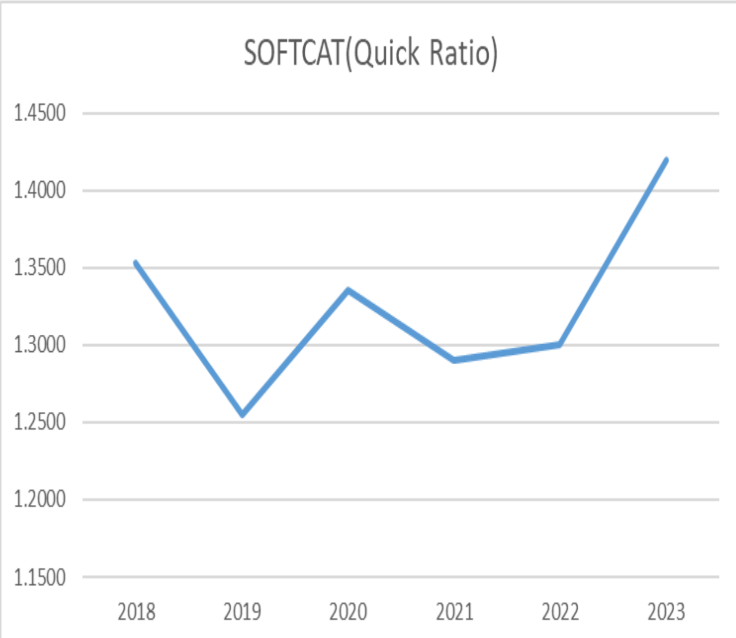

Figure 9

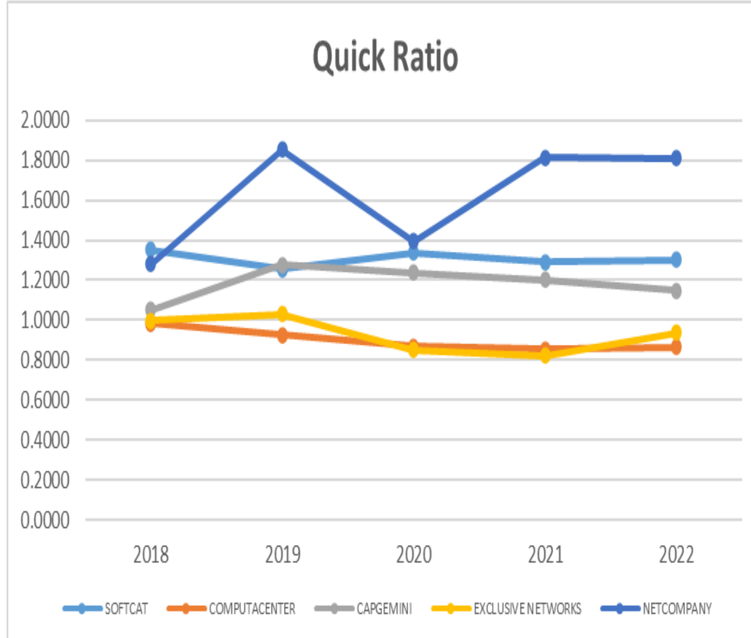

Figure 10

Solvency

The data tells us that Softcat's gearing ratio is the lowest among these companies and has decreased from FY2020 to FY2023. It can be concluded that Softcat has chosen a relatively conservative financing strategy and that the company has good long-term solvency.

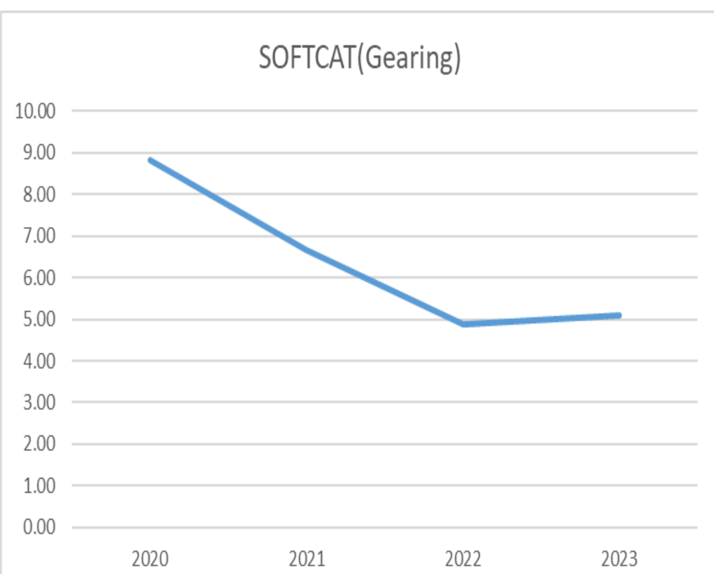

Figure 11

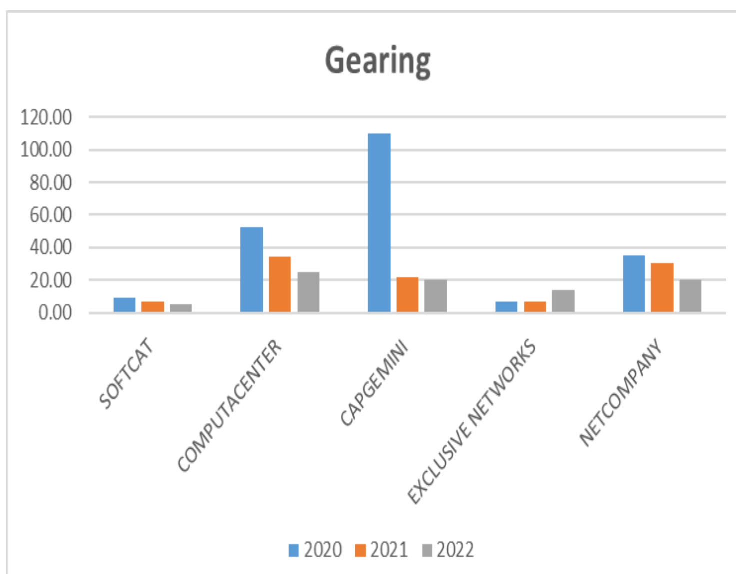

Figure 12

In conclusion, Softcat has a relatively strong performance in the areas of profitability, liquidity, and solvency. It has adopted a relatively conservative corporate operating strategy, and if running properly, ithas as very low risk of bankruptcy.

Forecasts of Accounting variables used in our valuation

Softcat has been on a downward trend since 2022 with revenue growth declining from 7.39% in 2021 to -6.81% in 2022 and -8.59% in 2023. This was primarily because of inflation and Softcat has been investing heavily in the recent years in developing their technology. During the previous year they implemented a new finance system which is creating new possibilities for analytics and reporting. These investments have made a way for new methods of AI applications to advance their operating model in significant ways like enhancing efficiency of account managers, enabling automated lead generation and effective resource allocation. They are also constantly investing in developing the digital platforms for new consumption and distribution models. Demand for these innovations is mediocre at the stage but will most probably increase in the coming years. These investments include adoption of multiple marketplaces released by cloud providers and distributors and subscription-based hardware offerings.

Based on these factors and considering heavy investments by Softcat until now we assume that they will have a significant growth in revenue as these constant investments mature. The revenue will have fluctuation after the surge but then increase again gaining back stability after FY26. In the Target Scenario we assume a growth of 12.35%, 17.45% for Blue Sky Scenario and 7.30% for grey sky scenario by FY28.

	FY 23	FY 24	FY 25	FY 26	FY27	FY28
Revenue growth (Target Performance)	-8.59%	13.04%	11.36%	9.50%	11.10%	12.35%
Revenue Growth (Blue Sky Scenario)	-3.35%	17.45%	15.90%	14.20%	16.20%	17.45%
Revenue Growth (Grey Sky scenario)	-11.50%	7.60%	6%	4.30%	6.05%	7.30%

Table 2

Softcat has maintained a good Tax strategy over the years so we assume that it will remain constant at 21.0%. We assume that Softcat will maintain its dividend pay-out ratio which is better than average at 66.43% with minor fluctuations. Cost of Sales to revenue has declined over the years and we assume it to be maintained at 0.62 with gradual minor fluctuations in later years.

According to previous analysis, Administrative expenses of Softcat has been increasing due to inflation and their investment in new technologies. We assume that the Administrative expense will gradually increase in the coming years. Softcat has a substantial ROE of 48% in the industry. We assume that it will remain constant with negligible fluctuations.

Relevant Forecasting Ratios and Assumptions	
ROE	48%
Dividend Pay-out ratio	66.43%
Non-current assets growth rate	12.7%
Tax Rate	21.0%
Assets turnover	3.77%
COGS/Revenue	0.62
Administrative Expenses/Revenue	0.24
Revenue/Receivables	2.29
COGS/Payables	1.70
Cash/Revenue	0.12
Deferred Income/Revenue	0.03
Finance Income	1.17m
Non-current Liabilities	10m

Table 3

Based on the assumptions made the results for forecasting for these three scenarios are as follows:

Target Scenario:

Profit and Loss Statement

millons of £	P&L (Target Scenario)				
	FY24	FY25	FY26	FY27	FY28
Revenue	1113.78	1240.31	1358.14	1508.89	1695.24
COGS	691.20	769.72	842.85	936.40	1052.05
Gross Profit	422.58	470.59	515.29	572.49	643.19
Administrative Expense	285.59	330.43	368.61	409.53	460.11
Operating Profit	137.00	140.16	146.68	162.96	183.09
Finance Income	0.54	0.60	0.65	0.73	0.82
Finance Costs	0.23	0.26	0.28	0.31	0.35
Pretax Profit	137.30	140.49	147.05	163.37	183.55
Tax	28.88	29.55	30.93	34.36	38.60
Net Income	**108.43**	**110.95**	**116.13**	**129.02**	**144.95**
NOPAT	**108.18**	**110.68**	**115.83**	**129.26**	**145.23**

Table 4

Statement of Financial Position:

millons of £	SoFP (Target Scenario)				
	FY24E	FY25E	FY26E	FY27E	FY28E
Non-current Assets	35.47	39.98	45.07	50.80	57.26
Current Assets					
Inventories	4.06	4.52	4.95	5.50	6.18
Trade and Other Receivables	553.94	616.87	675.47	750.45	843.13
Income tax receivable	0.00	0.00	0.00	0.00	0.00
Cash and Cash Equivalents	138.61	154.36	169.02	187.78	210.97
Total Current Assets	696.61	775.75	849.44	943.73	1060.28
Total Assets	732.08	815.73	894.51	994.53	1117.55
Current Liabilities					
Trade and Other payables	406.52	452.70	495.71	550.73	618.75
Contract liabilities	26.96	30.02	32.88	36.53	41.04
lease liabilities	3.09	3.44	3.77	4.19	4.70
income tax payable	0.01	0.01	0.01	0.01	0.01
Total Current Liabilities	436.58	486.18	532.36	591.46	664.50
Non-Current Liabilities	11.37	12.66	13.87	15.40	17.31
Total Liabilities	447.95	498.84	546.23	606.86	681.81
Net Assets	284.13	316.89	348.28	387.67	435.74
Equity	284.13	316.89	348.28	387.67	435.74
Dividend	65.09	66.60	69.71	77.45	87.01

Table 5

Blue Sky Scenario:

Blue Sky Scenario:
Profit and Loss Statement

P&L (Blue Sky Scenario)					
millons of £	FY24E	FY25E	FY26E	FY27E	FY28E
Revenue	1157.23	1341.24	1531.69	1779.82	2090.40
COGS	718.17	832.36	950.55	1104.54	1297.28
Gross Profit	439.07	508.88	581.14	675.29	793.12
Administrative Expense	296.73	357.32	415.72	483.06	567.36
Operating Profit	142.34	151.56	165.42	192.22	225.76
Finance Income	0.56	0.65	0.74	0.86	1.01
Finance Costs	0.24	0.28	0.32	0.37	0.43
Pretax Profit	142.66	151.93	165.84	192.71	226.34
Tax	30.00	31.95	34.88	40.53	47.60
Net Income	**112.66**	**119.98**	**130.96**	**152.18**	**178.74**
NOPAT	**112.40**	**119.69**	**130.63**	**152.47**	**179.08**

Table 6

Statement of Financial Position:

SoFP (Blue Sky Scenario)					
millons of £	FY24E	FY25E	FY26E	FY27E	FY28E
Non-current Assets	35.47	39.98	45.07	50.80	57.26
Current Assets					
Inventories	4.22	4.89	5.58	6.49	7.62
Trade and Other Receivables	575.55	667.07	761.79	885.20	1039.67
Income tax receivable	0.00	0.00	0.00	0.00	0.00
Cash and Cash Equivalents	144.02	166.92	190.62	221.50	260.15
Total Current Assets	723.79	838.87	957.99	1113.19	1307.44
Total Assets	759.26	878.86	1003.06	1163.99	1364.70
Current Liabilities					
Trade and Other payables	422.38	489.54	559.06	649.62	762.98
Contract liabilities	28.01	32.47	37.08	43.08	50.60
lease liabilities	3.21	3.72	4.25	4.94	5.80
income tax payable	0.01	0.01	0.01	0.01	0.01
Total Current Liabilities	453.61	525.74	600.39	697.66	819.40
Non-Current Liabilities	11.81	13.69	15.64	18.17	21.34
Total Liabilities	465.43	539.43	616.03	715.83	840.74
Net Assets	293.83	339.42	387.03	448.16	523.96
Equity	293.83	339.42	387.03	448.16	523.96
Dividend	67.63	72.02	78.62	91.35	107.30

Table 7

Grey Sky Scenario:

Grey Sky Scenario: Profit and Loss Statement

P&L (Grey Scenario) millons of £	FY24E	FY25E	FY26E	FY27E	FY28E
Revenue	1060.18	1118.49	1166.59	1237.17	1327.48
COGS	657.94	694.12	723.97	767.77	823.82
Gross Profit	402.25	424.37	442.62	469.40	503.66
Administrative Expense	271.84	297.98	316.63	335.78	360.29
Operating Profit	130.40	126.39	125.99	133.61	143.37
Finance Income	0.51	0.54	0.56	0.60	0.64
Finance Costs	0.22	0.23	0.24	0.26	0.28
Pretax Profit	130.69	126.70	126.31	133.95	143.73
Tax	27.49	26.65	26.56	28.17	30.23
Net Income	**103.21**	**100.05**	**99.75**	**105.78**	**113.50**
NOPAT	**102.98**	**99.81**	**99.49**	**105.99**	**113.72**

Table 8

Statement of Financial Position

SoFP (Grey Sky Scenario) millons of £	FY24E	FY25E	FY26E	FY27E	FY28E
Non-current Assets	35.47	39.98	45.07	50.80	57.26
Current Assets					
Inventories	3.86	4.08	4.25	4.51	4.84
Trade and Other Receivables	527.28	556.28	580.20	615.31	660.22
Income tax receivable	0.00	0.00	0.00	0.00	0.00
Cash and Cash Equivalents	131.94	139.20	145.18	153.97	165.21
Total Current Assets	663.09	699.56	729.64	773.78	830.27
Total Assets	698.56	739.54	774.71	824.58	887.53
Current Liabilities					
Trade and Other payables	386.96	408.24	425.80	451.56	484.52
Contract liabilities	25.66	27.08	28.24	29.95	32.13
lease liabilities	2.94	3.10	3.24	3.43	3.68
income tax payable	0.01	0.01	0.01	0.01	0.01
Total Current Liabilities	415.57	438.43	457.28	484.94	520.35
Non-Current Liabilities	10.82	11.42	11.91	12.63	13.55
Total Liabilities	426.39	449.85	469.19	497.58	533.90
Net Assets	272.17	289.70	305.52	327.01	353.63
Equity	272.17	289.70	305.52	327.01	353.63
Dividend	61.96	60.06	59.88	63.50	68.14

Table 9

Valuation Methods

This section of the report will look into valuing the stock price using numerous methods including the Dividend Discount Method, Residual Income Method, Multiples method. From this we create three possible scenarios; best guess, blue sky and grey sky to inform our investment decisions and whether the price of the stock is in the buy, hold or sell category.

CAPM

Calculating the cost of equity through the Capital Asset Pricing Model (CAPM) is required prior to going through the valuations. The risk-free rate was gathered through UK Gilt 10 Year Yield being 4.31% on Bloomberg on 13 November 2023. Expected market return is 6.89% as identified through the historical return of stocks on the LTSE over the past 20 years. Beta of 0.70 (Eikon) was identified in a FAME report of Softcat.

$E(R_i) = R_f + \beta_i [E(R_m) - R_f]$

$E(R_i) = 0.0431 + 0.70 [0.0689 - 0.0431]$

$E(R_i) = 0.06116$ or 6.12%

Terminal Growth Rate

Terminal Growth Rate is derived from the addition of the target inflation rate and long term growth potential of the UK GDP.

Target Inflation Rate – 2% (Bank of England)

Long-term growth potential UK GDP (2024 projection) – 1% (OECD)

Terminal Growth Rate = 3%

DCF Valuations

1. Dividend Discount Model (DDM)

The DDM method involves deriving the stock's value through the sum of all future dividends being discounted back to the present value. The following formula encapsulates this:

$$V_0 = \frac{D_1}{(1+r)^1} + \frac{D_2}{(1+r)^2} \ldots + \frac{D_n}{(1+r)^n} + \frac{P_n}{(1+r)^n}$$

Best guess scenario:

Best Guess					
	FY23	FY24	FY25	FY26	Terminal Value
Dividends (Eikon)	£ 74,175,000.00	£ 78,811,277.83	£ 81,455,415.86	£ 86,785,599.01	£ 2,545,335,070.85
Discount Factor	0.942329438	0.88798477	0.83677419	0.788516953	0.788516953
PV	£ 69,897,286.09	£ 69,983,214.45	£ 68,159,789.63	£ 68,431,916.05	£ 2,007,039,853.16
Market Capitalisation					£ 2,458,549,471.84
Shares Outstanding					199,557,587
Intrinsic Value					£ 2,283,512,059.39
Price Per Share					£ 11.44
Softcat Share Price @ 24.10.23					£ 12.32

Table 10

Blue sky scenario:

Blue Sky					
	FY23	FY24	FY25	FY26	
Dividends	£ 104,400,806.24	£ 128,513,304.98	£ 151,947,552.89	£ 174,604,316.08	£ 2,545,335,070.85
Discount Factor	0.942329438	0.88798477	0.83677419	0.788516953	0.788516953
PV	£ 98,379,953.11	£ 114,117,857.62	£ 127,145,790.49	£ 137,678,463.21	£ 2,007,039,853.16
Market Capitalisation					£ 2,458,549,471.84
Shares Outstanding					199,557,587
Intrinsic Value					£ 2,484,361,917.59
Share Price					£ 12.45
Softcat Share Price @ 24.10.23					£ 12.32

44% payout ratio assumed based on FY23 payout ratio.

Table 11

Grey sky scenario:

Grey Sky					
	FY23	FY24	FY25	FY26	
Dividends	£ 58,171,283.93	£ 56,463,305.94	£ 48,272,271.19	£ 35,951,510.10	£ 2,545,335,070.85
Discount Factor	0.942329438	0.88798477	0.83677419	0.788516953	0.788516953
PV	£ 54,816,513.32	£ 50,138,555.76	£ 40,392,990.63	£ 28,348,375.18	£ 2,007,039,853.16
Market Capitalisation					£ 2,458,549,471.84
Shares Outstanding					199,557,587
Intrinsic Value					£ 2,180,736,288.05
Share Price					£ 10.93
Softcat Share Price @ 24.10.23					£ 12.32

Table 12

2. Residual Income Valuation (RiV)

The residual income valuation method derives the stock value through key financial metrics from the P&L and SoFP statements determining the firms income after tax and deducting the equity charge based on CAPM to then discount the residual income figure to get the present value and ultimately intrinsic value. This can be represented by the following equation.

$$V_0 = BV_0 + \sum_{t=1}^{\infty} \frac{RI_t}{(1+r)^t}$$

Best guess scenario:

Best Guess					
	FY23	FY24	FY25	FY26	Terminal Value
Gross Income	£ 373,834,000.00	£ 415,075,000.00	£ 466,450,000.00	£ 526,333,000.00	
Less: Interest Expenses	-£ 231,970,000.00	-£ 261,247,000.00	-£ 297,083,000.00	-£ 337,216,000.00	
Pre-Tax Income	£ 141,864,000.00	£ 153,828,000.00	£ 169,367,000.00	£ 189,117,000.00	
Income Tax	-£ 29,835,000.00	-£ 37,533,000.00	-£ 41,500,000.00	-£ 45,200,000.00	
Net Income	£ 112,029,000.00	£ 116,295,000.00	£ 127,867,000.00	£ 143,917,000.00	£ -
Total Assets		£ 733,900,000.00	£ 888,000,000.00	£ 997,000,000.00	
Total Liabilities		£ 168,133,000.00	£ 509,000,000.00	£ 636,000,000.00	
Total Equity	£ 251,445,000.00	£ 565,767,000.00	£ 379,000,000.00	£ 361,000,000.00	
CAPM	6.12%	6.12%	6.12%	6.12%	
Equity charge	£ 15,388,434.00	£ 34,624,940.40	£ 23,194,800.00	£ 22,093,200.00	
Net Income	£ 112,029,000.00	£ 116,295,000.00	£ 127,867,000.00	£ 143,917,000.00	£ -
Equity Charge	-£ 15,388,434.00	-£ 34,624,940.40	-£ 23,194,800.00	-£ 22,093,200.00	£ -
Residual Income	£ 96,640,566.00	£ 81,670,059.60	£ 104,672,200.00	£ 121,823,800.00	£ 3,904,608,974.36
Discount Factor	0.94233	0.88798	0.83677	0.78852	0.78852
PV	£ 91,067,250.28	£ 72,521,769.12	£ 87,586,995.37	£ 96,060,131.52	£ 3,078,850,369.17
Sum of PV	£ 3,426,086,515.47				
Opening Equity	£ 211,100,000.00	Note: Total Equity from FY22 Financial Statement			
Equity Value	£ 3,637,186,515.47				
Shares Outstanding	£ 199,557,587.00				
Price per Share	£ 18.23				
Softcat Share Price @ 24.10.23	£ 12.32				

Table 13

Blue sky scenario:

Blue Sky					
	FY23	FY24	FY25	FY26	Terminal Value
Gross Income	£ 430,368,809.00	£ 505,468,166.17	£ 585,837,604.59	£ 669,026,544.44	
Less: Interest Expenses	-£ 231,970,000.00	-£ 261,247,000.00	-£ 297,083,000.00	-£ 337,216,000.00	
Pre-Tax Income	£ 198,398,809.00	£ 244,221,166.17	£ 288,754,604.59	£ 331,810,544.44	
Income Tax	£ 41,663,749.89	£ 51,286,444.90	£ 60,638,466.96	£ 69,680,214.33	
Net Income	£ 240,062,558.89	£ 295,507,611.07	£ 349,393,071.56	£ 401,490,758.78	£ -
Total Assets		£ 733,900,000.00	£ 888,000,000.00	£ 997,000,000.00	
Total Liabilities		£ 168,133,000.00	£ 509,000,000.00	£ 636,000,000.00	
Total Equity	£ 251,445,000.00	£ 565,767,000.00	£ 379,000,000.00	£ 361,000,000.00	
CAPM	6.12%	6.12%	6.12%	6.12%	
Equity charge	£ 15,388,434.00	£ 34,624,940.40	£ 23,194,800.00	£ 22,093,200.00	
Net Income	£ 240,062,558.89	£ 295,507,611.07	£ 349,393,071.56	£ 401,490,758.78	£ -
Equity Charge	-£ 15,388,434.00	-£ 34,624,940.40	-£ 23,194,800.00	-£ 22,093,200.00	£ -
Residual Income	£ 224,674,124.89	£ 260,882,670.67	£ 326,198,271.56	£ 379,397,558.78	£ 12,160,178,165.92
Discount Factor	0.94233	0.88798	0.83677	0.78852	0.78852
PV	£ 211,717,041.92	£ 231,659,838.42	£ 272,954,294.46	£ 299,161,406.83	£ 9,588,506,629.26
Sum of PV	£ 10,603,999,210.90				
Opening Equity	£ 211,100,000.00	Note: Total Equity from FY22 Financial Statement			
Equity Value	£ 10,815,099,210.90				
Shares Outstanding	£ 199,557,587.00				
Price per Share	£ 54.20				
Softcat Share Price @ 24.10.23	£ 12.32				

Table 14

Grey sky scenario:

Grey Sky					
	FY23	FY24	FY25	FY26	Terminal Value
Gross Income	£ 342,516,210.00	£ 368,547,441.96	£ 388,817,551.27	£ 405,536,705.97	
Less: Interest Expenses	-£ 231,970,000.00	-£ 261,247,000.00	-£ 297,083,000.00	-£ 337,216,000.00	
Pre-Tax Income	£ 110,546,210.00	£ 107,300,441.96	£ 91,734,551.27	£ 68,320,705.97	
Income Tax	£ 23,214,704.10	£ 22,533,092.81	£ 19,264,255.77	£ 14,347,348.25	
Net Income	£ 133,760,914.10	£ 129,833,534.77	£ 110,998,807.03	£ 82,668,054.23	£ -
Total Assets		£ 733,900,000.00	£ 888,000,000.00	£ 997,000,000.00	
Total Liabilities		£ 168,133,000.00	£ 509,000,000.00	£ 636,000,000.00	
Total Equity	£ 251,445,000.00	£ 565,767,000.00	£ 379,000,000.00	£ 361,000,000.00	
CAPM	6.12%	6.12%	6.12%	6.12%	
Equity charge	£ 15,388,434.00	£ 34,624,940.40	£ 23,194,800.00	£ 22,093,200.00	
Net Income	£ 133,760,914.10	£ 129,833,534.77	£ 110,998,807.03	£ 82,668,054.23	£ -
Equity Charge	-£ 15,388,434.00	-£ 34,624,940.40	-£ 23,194,800.00	-£ 22,093,200.00	£ -
Residual Income	£ 118,372,480.10	£ 95,208,594.37	£ 87,804,007.03	£ 60,574,854.23	£ 1,941,501,738.03
Discount Factor	0.94233	0.88798	0.83677	0.78852	0.78852
PV	£ 111,545,872.69	£ 84,543,781.82	£ 73,472,126.86	£ 47,764,299.45	£ 1,530,907,033.75
Sum of PV	£ 1,848,233,114.57				
Opening Equity	£ 211,100,000.00	Note: Total Equity from FY22 Financial Statement			
Equity Value	£ 2,059,333,114.57				
Shares Outstanding	£ 199,557,587.00				
Price per Share	£ 10.32				
Softcat Share Price @ 24.10.23	£ 12.32				

Table 15

Multiples Valuation

Fair Value by P/E

$$\frac{P}{E} ratio = \frac{Share\ Price}{Earnings\ per\ share}$$

Multiples valuation through the P/E ratio are obtained by multiplying the earnings per share (EPS) by the industry average. Albeit, we used a different metric in competitor average. This was obtained and used through averaging three close competitors to get a more accurate valuation price as the industry average valuation was unrealistic. The competitor companies were Computacenter, Kainos Group and Endava.

Best guess scenario:

Market Share Price	Earnings per share	P/E Ratio	Competitor Average	Industry Average (Eikon)	Valuation Share Price (Competitor Average * Earnings per share)
£ 12.32	£ 0.56	21.92	25.70	85.24	£ 14.44

Table 16

Blue sky scenario:

Market Share Price	Earnings per share	P/E Ratio	Competitor Average	Industry Average (Eikon)	Valuation Share Price (Competitor Average * Earnings per share)
£ 12.32	£ 0.68	18.12	25.70	85.24	£ 17.47

Table 17

Grey sky scenario:

Market Share Price	Earnings per share	P/E Ratio	Competitor Average	Industry Average (Eikon)	Valuation Share Price (Competitor Average * Earnings per share)
£ 12.32	£ 0.38	32.52	25.70	85.24	£ 9.73

Table 18

Results

Softcat's share price on 24 October 2023 was £12.32. To get a fair intrinsic value from the multiple valuation methods used, we have decided to sum all the intrinsic values and divide by the number of methods used. This is because the valuation models use different financial metrics as inputs, therefore leading us to get a diversified and more accurate answer.

Softcat Share Price @ 24.10.23	£	12.32

Best Guess	Intrinsic Value		Comment	Share Price Change
DDM	£	11.44	SELL, current share price > intrinsic value, therefore, currently selling at a premium and is overvalued	
RiV	£	18.23	BUY, current share price < intrinsic value, therefore, currently selling at a discount and is undervalued	
P/E Multiple Valuation	£	14.44	BUY, current share price < intrinsic value, therefore, currently selling at a discount and is undervalued	
Intrinsic Value	£	14.70	BUY	19.35%

Blue Sky	Intrinsic Value		Comment	Share Price Change
DDM	£	12.45	HOLD, current share price is close to intrinsic value, therefore, currently selling at fair value	
RiV	£	54.20	BUY, current share price < intrinsic value, therefore, currently selling at a discount and is undervalued	
P/E Multiple	£	17.47	BUY, current share price < intrinsic value, therefore, currently selling at a discount and is undervalued	
Intrinsic Value	£	28.04	STRONG BUY	90.71%

Grey Sky	Intrinsic Value		Comment	Share Price Change
DDM	£	10.93	SELL, current share price > intrinsic value, therefore, currently selling at a premium and is overvalued	
RiV	£	10.32	SELL, current share price > intrinsic value, therefore, currently selling at a premium and is overvalued	
P/E Multiple	£	9.73	SELL, current share price > intrinsic value, therefore, currently selling at a premium and is overvalued	
Intrinsic Value	£	10.33	STRONG SELL	-63.17%

Table 19

Usefulness of valuation methods

The downfall of the DDM and RiV models stems from their reliability for forecasted projections. Therefore, the valuation methods inherently have a degree of uncertainty and inaccuracy. In the case of the DDM, it is hard to determine the growth in dividend payouts given the uncertainty of economic conditions and business performance. Thus, the DDM is mostly only effective with firms that have steady cash flow and consistent dividend payments. Albeit, through thorough research into past trends, economic conditions, and future expenditures, we are of the belief that our best guess scenario will be in the ballpark of the actuals. Having three scenarios assists with understanding the potential impact on the share price under three different economic cycles and business success.

RiV model is very useful when compared to DDM due to the fact that the model can be applied to firms that do not pay dividends or have positive cash flow. DDM is limited to companies who distribute dividends to shareholders. If investors are reliant on the DDM method and don't use multiple other methods, they are liable to miss out on growth opportunities from small and young firms experiencing growth but aren't in a position to payout dividends to investors yet.

In relation to using the price multiples method, identification of 'comparable firms' tends to be difficult. The firms selected to generate the median should have similar operating and financial circumstances to the subject company and be considered in the same industry. This may be tough with many firms being associated with multiple industries, having different strategies, opportunities, and profitability, and therefore not providing an accurate representation of the benchmarks for the calculation (Peek, Palepu, Healy 2022). To this extent, industry average was not used, as it did not provide an accurate representation of the true intrinsic value of Softcat. In turn, 3 firms within the industry that are considered close competitors to Softcat were used to derive a competitor average, which was then applied to calculate the financial performance of Softcat and assist with valuation.

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